Organizational Behaviour

by

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Introduction to Organization

- An organization is a place where a group of people work collectively and in a structured way to achieve a set of goals.

Meaning of Organization

"An organization represents a group of people who work together for the achievement of common objective."

"An organization comes into existence when there are a number of persons in communication and relationship to each other and are willing to contribute towards a common endeavor."

Definition

- According to Allen organization can be defined as “ the process of identifying and grouping of work to be performed by delegating authority and responsibility for the purpose of enabling people to work most effectively together in accomplishing objectives”.
- Identification and grouping of work
- delegation of authority and responsibility
- effictive work by the people
- achievement of objectives

Features of an organization

- it is an objective-oriented activity
- division into departments
- delegation of authority and responsibility
- it is dependent on planning
- it is flexible
- it is a cooperative activity
- it gives importance to human factor
- it established authority relationship

F Taylor

Theory of Scientific Management

- Time and motion study
- Differential Piece Rate Plan

Henri Fayol

Administrative Theory

- 14 principles
- Planning, Organizing, Commanding, Coordinating, Controlling

Max Weber

Bureaucratic Theory

- Division of Labor
- Formal Structure
- Management by Rules

Elton Mayo

Behavioral Theory of Management

- Psychological stimulus
- Better work environment

F . W . Taylor : Father of Scientific Management

The **Scientific Management Theory** is well known for its application of engineering science at the production floor or the operating levels. The major contributor of this theory is Fredrick Winslow Taylor, and that’s why the scientific management is often called as **“Taylorism”**.

Principles of Scientific Management

1. Scientific Task Planning
2. Standardization
3. Scientific Selection and Training of Workers
4. Functional Foremanship
5. Differential Piece Rate system
6. Harmony and Not Discord

Scientific Task Planning

- Management Should find out the amount of work which an average worker can perform during a day under normal working conditions. This can be achieved by time and motion studies.
- Aim is to eliminate unnecessary and wasteful motions and to find out minimum time required to do a job. Thus task is to be designed scientifically and not by rule of thumb.

Standardization

- Standards have to be set in advance for deciding the work procedures, quality parameters, time schedule, working conditions, This will increase efficiency of employees as well as organization.

- Scientific Selection and Training of Workers : Job should match abilities of employees.
- Functional Foremanship: Factory should be divided into several supervisors controlling different departments.
- Differential Piece Rate system: Wages are directly linked to the piece work distribution of gains between employees and employers.
- Harmony and Not Discord: Mutual cooperation between employees and employers for well being of organization.

Administrative theory of management

- This theory was developed by Henry Fayol .
- He is considered as father of Administrative theory of management.
- He developed a general theory of administration called ‘Fayolism’.
- As a member of the classical theory movement, Fayol's work was unique from that of Taylor, who focused on worker efficiency.
- Instead, Fayol focused on organization and structure of work tasks. He looked specifically at how management and workers are organized within a business to allow for the completion of task.

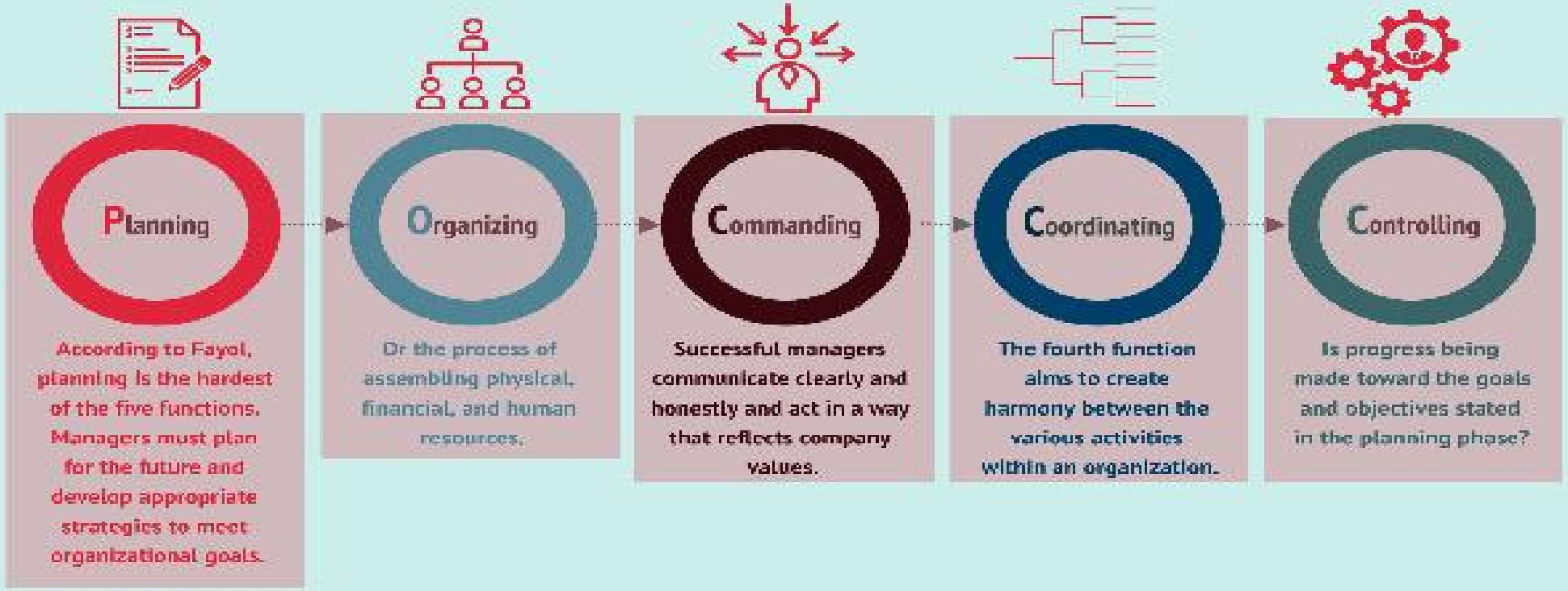
Functions

- Henri Fayol, in his classic 1916 book, *Administration Industrielle et Generale*, Fayol laid out an informative categorization of managerial functions. These functions include:
- **Planning**
- **Organizing**
- **Commanding**
- **Coordinating**
- **Controlling**

Function of an organization

The Five Functions of Management In A Nutshell

The Five Functions of Management was first described by Henri Fayol in his 1916 book Administration Industrielle et Generale. The Five Functions of Management is a general theory of business administration. It argues that management is comprised of five general functions: planning, organizing, staffing, leading, and controlling.



Managerial Functions

- Planning: Defining goals, establishing strategy and developing plans.
- Organizing: What to be done, Who is to do them, Who reports to whom, Where decisions are to be made.
- Directing: Motivating employees, resolving conflicts.
- Coordinating: Teams should co-operate each other
- Controlling: Monitoring activities

14 Principles of Henry Fayol

- Division of Work
- Authority and Responsibility
- Discipline
- Unity of Command
- Unity of Direction
- Interest
- Remuneration
- Centralization
- Scalar Chain
- Order
- Equity
- Stability of Tenure
- Initiative
- Esprit De Corp

DIVISION OF WORK

- Work should be divided among individuals and groups to ensure that effort and attention are focused on special portions of the task.
- Fayol presented work specialization as the best way to use the human resources of the organization.

Principle Of Authority And Responsibility

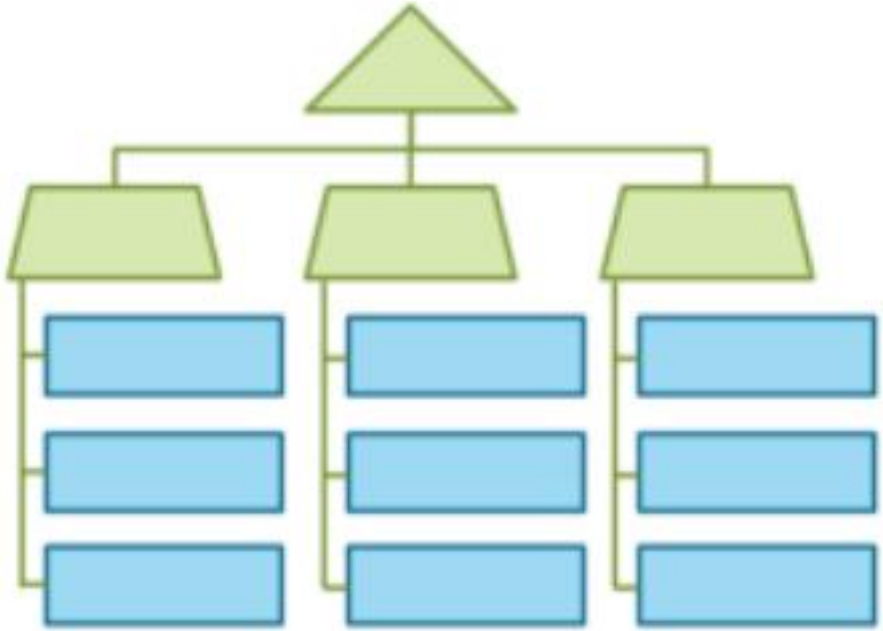
- Authority means power to take decision
- Responsibility means obligation to complete the assign job on time
- When some responsibility is given to a person, the matching authority should also be given.
- Excess authority may lead to negative results.

DISCIPLINE

UNITY OF COMMAND

Unity of Direction

According to this principle, every group of activities in organization should have the same objective. It means all activities must be directed by one superior and with one plan, so that organization cannot face any difficulties in course of achieving its per-determined goals.

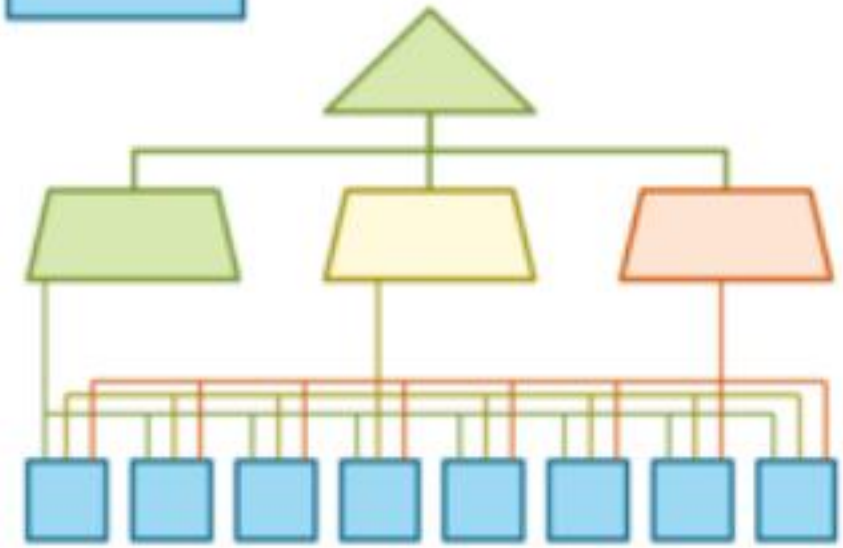


Unity of command

- one subordinate receives orders from one superior only
- avoids conflict of commands
- possible competence conflict

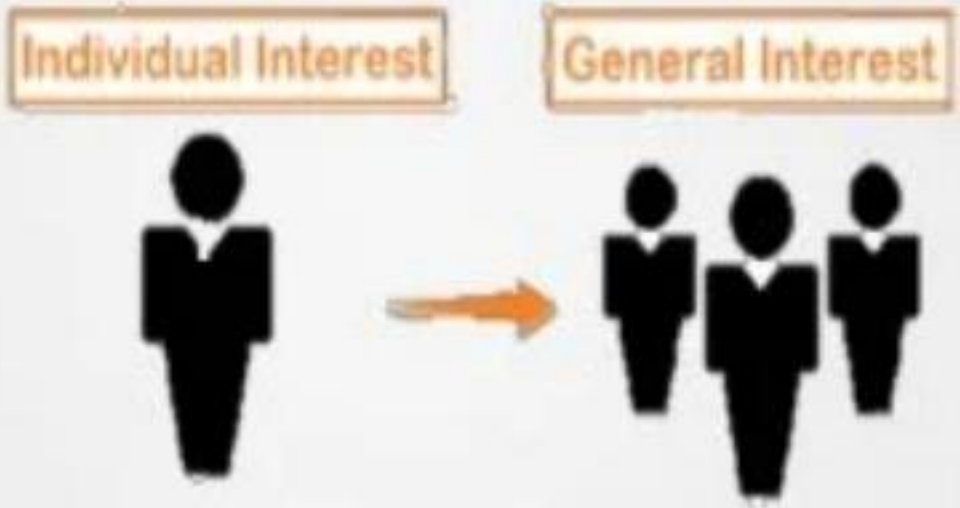
Unity of direction

- each group of activities has one head and one plan
- avoids overlapping of activities
- possible command conflict



6. Subordination of Individual Interest to General Interest

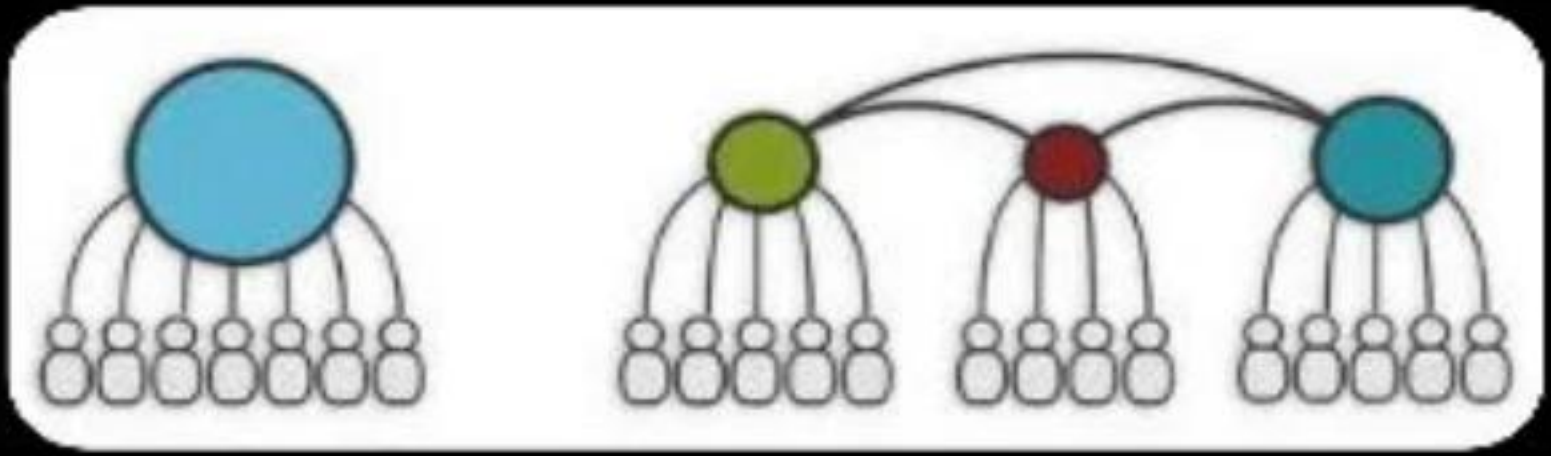
The interests of one employee or group of employees are subordinate to the interests and goals of the organization.

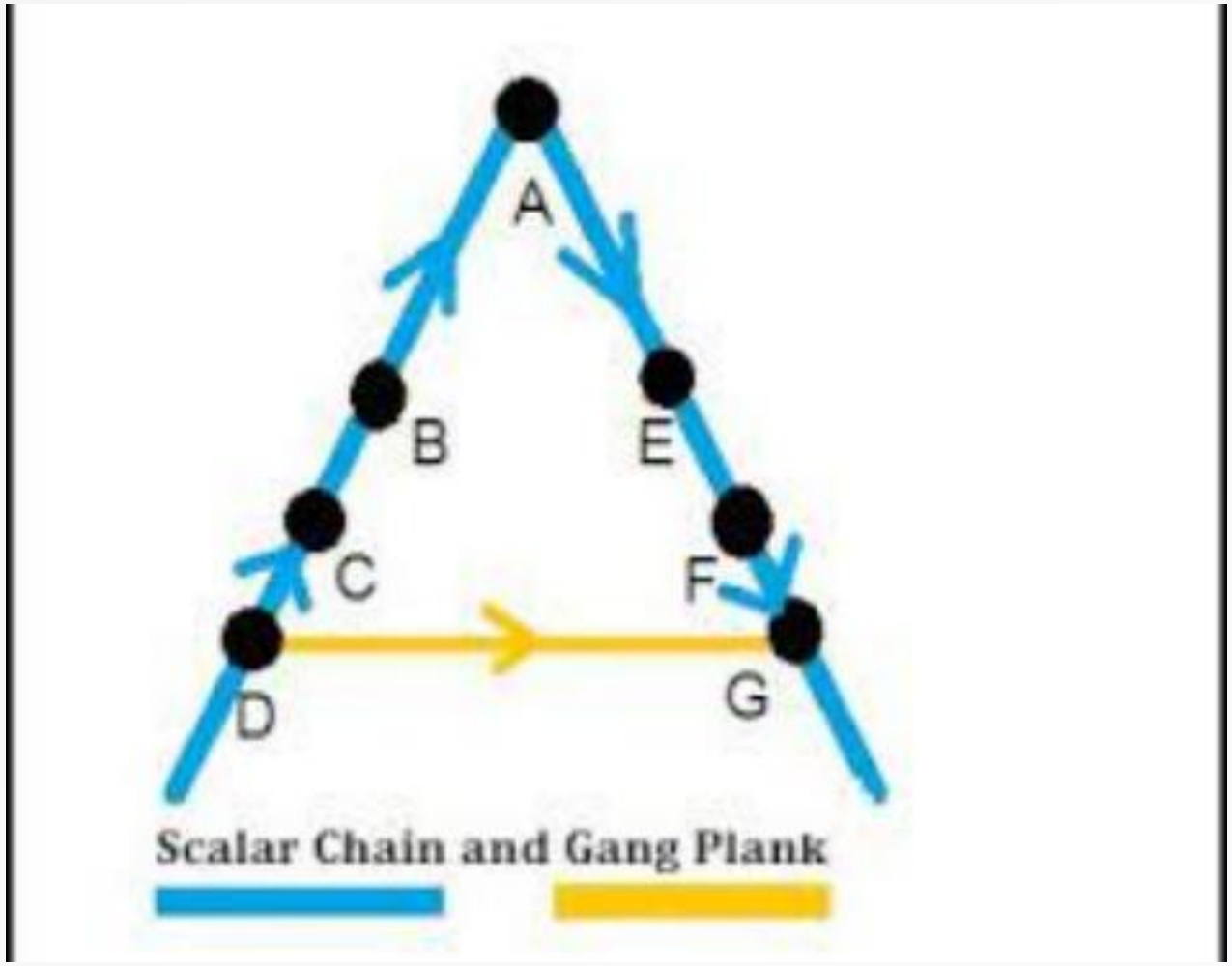


REMUNERATION

- Many variables, such as cost of living, supply of qualified personnel, general business conditions, and success of the business, should be considered in determining a worker's rate of pay.

CENTRALIZATION AND' DECENTRALIZATION OF AUTHORITY




A
B
E
C
F
D
G
Scalar Chain and Gang Plank

ORDER

- For the sake of efficiency and coordination, all materials and people related to a specific kind of work should be treated as equally as possible.

EQUITY

- All employees should be treated as equally as possible.

STABILITY OF TENURE OF PERSONNEL

- Retaining productive employees should always be a high priority of management.
- Recruitment and Selection Costs, as well as increased product-reject rates are usually associated with hiring new workers.

INITIATIVE

- Management should take steps to encourage worker initiative, which is defined as new or additional work activity undertaken through self direction.

Esprit de Corps

- Management should encourage harmony and general good feelings among employees.

Bureaucratic Theory

- **Max Weber** is the 'father of the bureaucratic management theory.' Weber was a German sociologist and political economist that viewed bureaucracy in a positive light, believing it to be more rational and efficient than its historical predecessors.
- The bureaucratic management theory, introduced by Max Weber stated that to manage an organization efficiently, it is essential to have a clear line of authority along with proper rules, procedures and regulations for controlling each business operation. Bureaucracy refers to the possessing of control over a group of people or activities through knowledge, power or authority.

elements

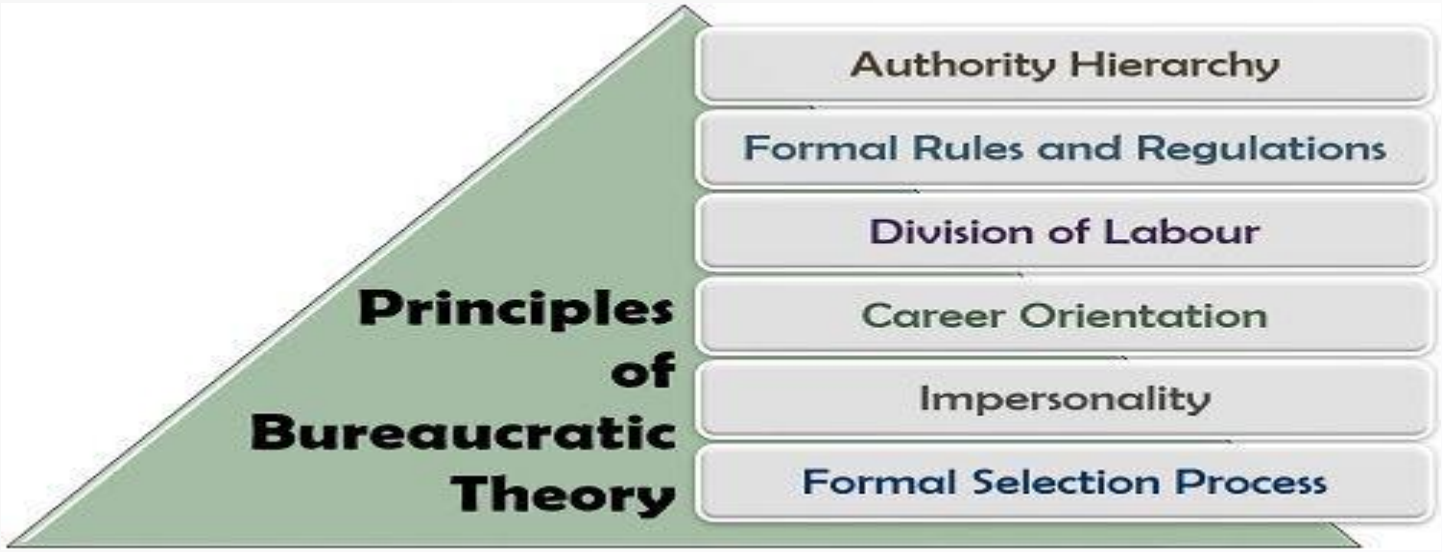
- Weber's **theory of bureaucratic management** also has two essential elements.
- 1. it entails structuring an organization into a hierarchy.
- 2. the organization and its members are governed by clearly defined rational-legal decision-making rules.
- Each element helps an organization to achieve its goals.

Three kinds of power in the organization by Weber

- **Traditional**
- **Charismatic**
- **Legal-Rational**

Principles of Bureaucratic Theory

- Government organizations majorly adopted Max Weber's bureaucracy theory. Weber gave the following six principles for managing an organization effectively and efficiently:



Neoclassical theory

- A neoclassical or new classical theory is called human relations and behavioural science movement. It modified, improved and extended the classical theory.
- **Behavioral management theory** relies on the notion that managers will better understand the human aspect to workers and treat employees as important assets to achieve goals. Management taking a special interest in workers makes them feel like part of a special group.

- Behavioral Science Theory combines elements of psychology, sociology, and anthropology to provide a scientific basis for understanding employee behavior. It examines why employees are motivated by specific factors, such as social needs, conflicts, and self-actualization. It recognizes individuality and the need for managers to be sociable.

Organizations are about people at work

The common problems people face at workplace;

- employers poor communication skill
- employees lack of motivation
- conflict among team members
- employees resistance to change
- ego clash among top management

elements

- As time went on, thinking shifted, and management started looking at employee satisfaction and working conditions as a way to increase productivity.

- The individual
- Work group
- Participative management

Organization
Group
Individual

Organizational Behavior

[ór-gə-nə-ˈzā-shnəl bi-ˈhā-vyər]

The academic study of how people interact within groups.

DEFINITION

- " OB refers to the field of study that investigates the impact that individuals, groups & structures have on behaviour within the organizations, for the purpose of applying that knowledge towards an organizational effectiveness."
- Orgnization behaviour actually refers to the behaviour of the people in the organizations because organizations themselves do not behave.
- It covers three determinants of behaviour within organizations-individuals, groups and structure.
- The field of OB does not depend upon assumptions based on intuition and gut feelings but attempts to gather information regarding an isuue in a scientific manner under controlled conditions.

Key Definitions

According to **Luthans** “OB is directly concerned with the understanding, prediction, and control of human behaviour in organisations.”

Davis and **Newstrom** have defined OB as “the study and application of knowledge how people act or behave within organisation. It is a human tool for human benefit. It applies broadly to the behaviour of people in all types of organisations such as business, government, schools and service organisations.”

In the opinion of **Robbins**, “OB is a field of study that investigates the impact that individuals, groups, and structure have on behaviour within organisations for the purpose of applying such knowledge towards improving an organisation's effectiveness.”

The subject matter of OB

- for accomplishing organisational goals in a effective manner, managers need to find the answer to the following questions;
- why people behave as they behave or why people do what they do at work in orhanisation?
- what influeneces people’s behaviour at work?

Introduction to Organizational Behaviour

Define Organizational Behavior

Organizational behavior (OB) is a field of study that investigates the impact that individuals, groups, and structure have on behavior within organizations for the purpose of applying such knowledge toward improving an organization's effectiveness.

What people do → Organizational Performance

Why organizational behaviour

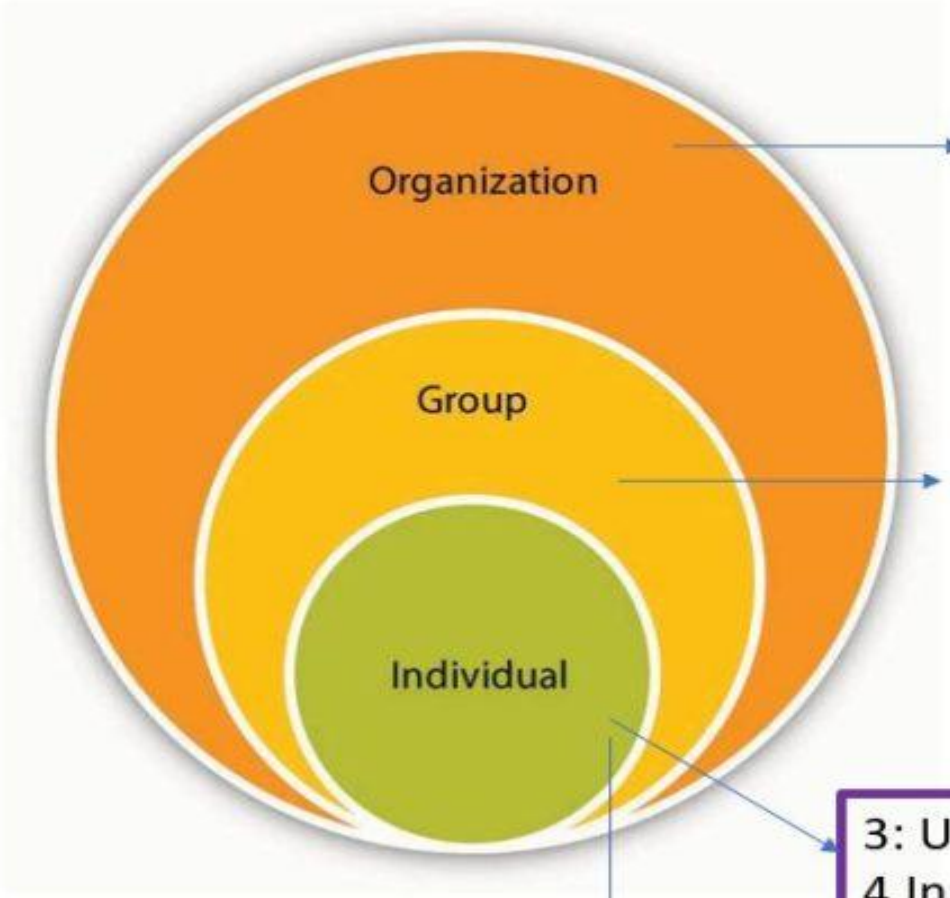
It helps in understanding self and others:

- individual behaviour
- inter-personal behaviour
- group behaviour

Key Elements of OB

- People
  - An individual joins organisation along with his/her social background, likes and dislikes, pride and prejudices
  - Human behaviour is always cause-based
- Structure
  - There are two systems: One is the formal and other is the informal social system
  - The formal relationship of people in organisations is called structure
- Technology
  - Technology provides the resources with which people work and also affects the tasks that they perform
- Environment
  - All organisations operate within a given internal and external environment
  - In fact, no organisation exists alone
  - An organisation is a part of a larger system that contains other factors

The 3 levels of Organizational Behaviour



14: Organizational Culture

8:Communication
9: Managing groups and teams
10:Conflict and negotiations
11: Making decisions
12: Leading people within organisations
13: Power and Politics

3: Understanding people at work
4.Indivdidual attitudes and behaviours
5.Theories of motivation
6.Designing a motivating department
7.Managing stress and emotions

1. What is OB? ★
2. Managing Demographic and Cultural Diversity

Understanding Organizational Behavior

- The academic study of an organization through the behavior of its members
- Intended to explain behavior and make behavioral predictions
- Incorporates components of management, psychology, leadership, personality traits, motivation, etc.

Nature

- A Separate Field of Study and Not a Discipline only
- An Interdisciplinary Approach
- An Applied Science
- A Normative Science
- A Humanistic and Optimistic Approach
- A Total System Approach

Scope of OB

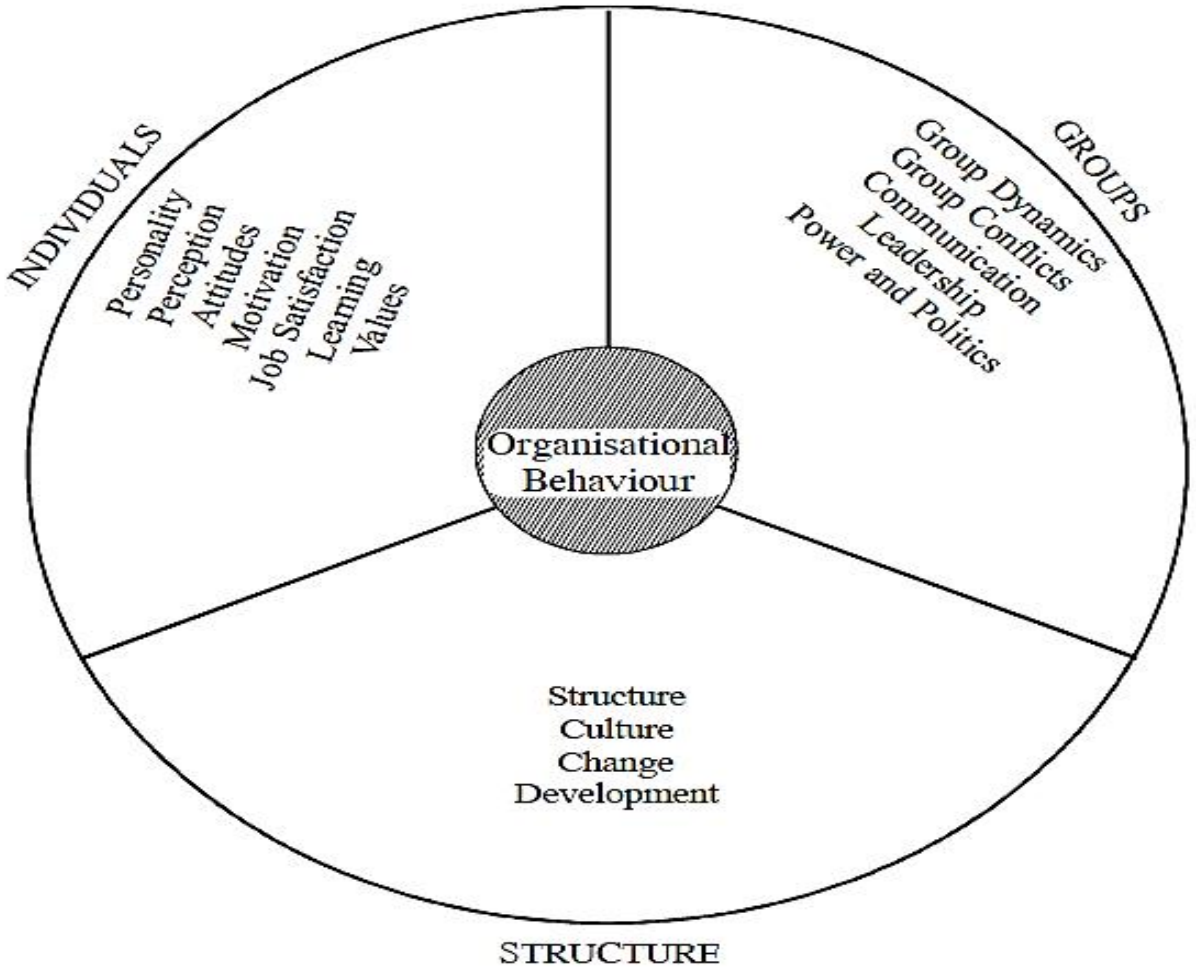


Figure 1.1. Scope of OB

Contributing Disciplines to OB

- Psychology
  - The discipline that has had the greatest influence on the field of OB is psychology.
  - It is a science that focuses directly on understanding and predicting individual behaviour.
  - It has greatly contributed to the intra-personal dynamics of human behaviour.
- Sociology
  - Sociology is the study of people in relation to their fellow human beings.
  - Whereas psychologists focus on the individuals, sociologists study groups of individuals.
  - The field of sociology has made valuable contributions to our understanding of group dynamics within organisations.
  - The topics derived from sociology include group dynamics, formation of groups, communication, formal and informal organisations and the like.

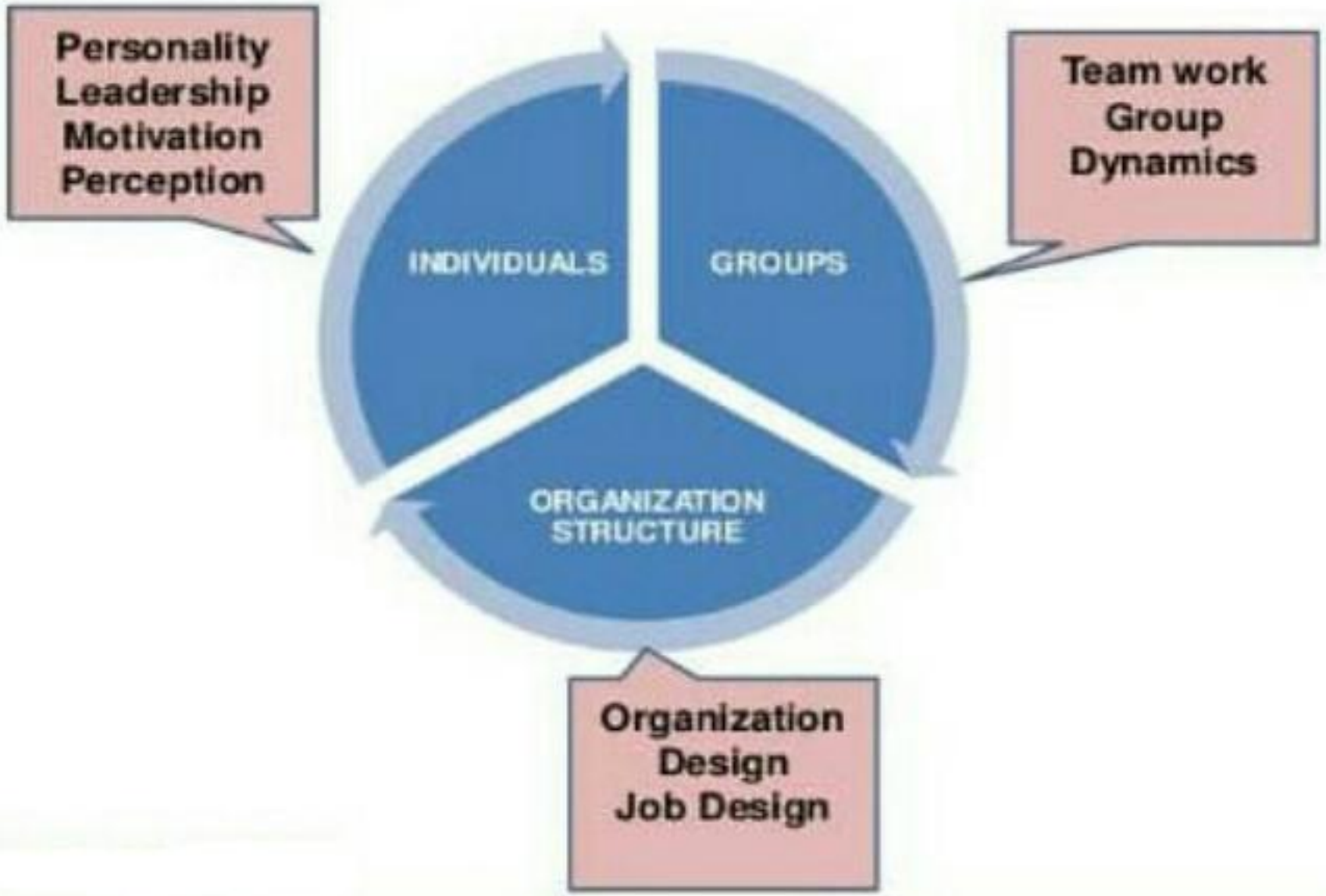
Contributing Disciplines to OB

- Anthropology
  - Anthropology is the study of societies to learn about human beings and their activities.
  - Anthropology helps us understand differences in fundamental values, attitudes, and behaviour between people in different regions and organisations.
  - In sum and substance, anthropology studies culture. Culture dictates what people learn and how they behave.
- Other Social Sciences
  - Besides psychology, sociology and anthropology, three other disciplines also contributed to our understanding of OB are economics, political science, and history.
  - Several economic models describe the behaviour of individuals when they are confronted with a choice, and these economic models have made valuable contributions to our understanding of both individual and organisational decision-making processes.

Need for studying OB

- understand human behaviour
- motivate people in various ways
- find the cause of the problem
- maintain peace
- predict human behaviour
- helps managers to be good leaders

Scope of Organizational Behaviour



Individual Level

It is considered as the most complex level because employees have different psychology.

It analyses the characteristics, behaviour and though processes of the employees that are attributed to them.

Such as personality, perception, motivation, values, emotions, level of stress etc.

Challenges at the individual level

- Individual differences
- job satisfaction
- motivation
- empowerment
- behaving ethically

Group Level

- Here employees need to interact and interdepend.
- the trust of leadership and the trust of employees determines the structure of groups in which you are going to work.
- The quality of leadership is directly related to the quality of decision making.
- Major elements are group structure, communication, decisions, conflict, work teams, organizational politics and power game.
- The policies should be more structured to deal with this.

Challenges of group level

- Adjusting with different mind sets
- Working with diversity such as gender, age, disability, religion etc.

Organizational Level

- Level at which initial policies, procedure, rules and regulations are formed.
- it serves as the building block of the organizational structure and culture which has direct impact on human output which further has different variables; productivity, turnover, satisfaction, deviant workplace behaviour
- the major focus on how people structure their working relationship.
- external environment forces such as the structure, culture, politics, change and development are analysed.

Challenges at the organizational level

- productivity
- developing efficient employees
- putting employees first
- global competition

Challenges faced by Management

- Work force diversity
- changing demographics of workforce
- ever expanding globalization
- towards improving quality

IMPORTANCE OF ORGANIZATIONAL BEHAVIOUR

1. Responding to Globalisation.
2. Managing Workforce Diversity.
3. Improving Quality and Productivity.
4. Responding to Labour Shortage.
5. Improving customer service.
6. Improving People skill.
7. Empowering People.

Models of organizational behaviour

- Autocratic Model
- Custodial Model
- Supportive Model
- Collegial Model
- System Model

Table 1. Essence elements of the Models of Organizational Behavior.

No	Item	Autocracy Model	Custodial Model	Supportive Model	Collegial Model	System Model
	Basic of Model	Power	Economic resource	Leadership	Partnership	Trust, community, understanding
1	Managerial orientation	Authority	Money	Support	Teamwork	Caring compassion
2	Employee orientation	Obedience	Security benefit	Performance	Responsible	Psychological ownership
3	Employee psychological result	Dependence on boss	Dependence on organization	Depend on partnership	Dependence on self-discipline	Self-motivation
4	Employee needs met	Subsistence	Security	Status recognition	Actualization	Wide range
5	Performance result	Minimum	Passive cooperation	Awakened drives	Enthusiasm moderate	Passion, commitment to goals